

## FRANCHISE AGREEMENT

THIS FRANCHISE AGREEMENT (the “Agreement”) is made and entered into on this **22nd day of December, 2025** (the “Effective Date”),

BY AND BETWEEN:

**DELTA FOODS PRIVATE LIMITED**, a company incorporated under the Companies Act, 2013, bearing CIN **U12345TG2018PTC543210**, having its registered office at **Plot No. 10, HITEC City, Hyderabad – 500081, Telangana, India**, represented herein by its authorized signatory **Mr. Karan Mehta**, Chief Executive Officer (hereinafter referred to as the “Franchisor”, which expression shall, unless repugnant to the context, include its successors and permitted assigns);

AND

**GAMMA FOODS PRIVATE LIMITED**, a company incorporated under the Companies Act, 2013, bearing CIN **U67890TG2021PTC987654**, having its registered office at **Plot No. 45, Whitefield, Bengaluru – 560066, Karnataka, India**, represented herein by its authorized signatory **Ms. Rina Shah**, Managing Director (hereinafter referred to as the “Franchisee”, which expression shall, unless repugnant to the context, include its successors and permitted assigns).

(The Franchisor and Franchisee are individually referred to as a “Party” and collectively as the “Parties”).

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## RECITALS

A. The Franchisor owns and operates a **network of branded quick-service restaurants (“QSR”)**, and has developed proprietary recipes, operational methods, trademarks, and marketing systems.

B. The Franchisee desires to operate a franchise of the Franchisor’s business, and the Franchisor agrees to grant such rights subject to the terms and conditions of this Agreement.

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## 1. GRANT OF FRANCHISE

1.1 The Franchisor hereby grants to the Franchisee the **non-exclusive right** to operate a franchise under the brand name **“Delta Foods”** at the location: **Plot No. 12, MG Road, Bengaluru – 560001, Karnataka, India**.

1.2 The Franchisee agrees to operate the franchise in strict compliance with the Franchisor’s standards, operational manuals, and guidelines.

1.3 The term of this franchise shall be **5 years** commencing on **1st January 2026**, unless earlier terminated in accordance with this Agreement.

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## 2. FRANCHISE FEES AND ROYALTIES

2.1 The Franchisee shall pay a **one-time franchise fee of INR 25,00,000/- (Rupees Twenty-Five Lakh Only)** upon execution of this Agreement.

2.2 The Franchisee shall pay a **monthly royalty of 8% of gross sales** to the Franchisor, payable on or before the 10th day of the following month.

2.3 Marketing Contribution: Franchisee shall contribute **2% of monthly gross sales** to the Franchisor's marketing fund.

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### **3. OBLIGATIONS OF FRANCHISEE**

3.1 Operate the franchise in accordance with Franchisor's operational manuals and standards.

3.2 Maintain accurate financial records and submit monthly sales reports to the Franchisor.

3.3 Ensure cleanliness, safety, and compliance with all statutory regulations, including food safety and labor laws.

3.4 Participate in training programs and promotional events as requested by the Franchisor.

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### **4. OBLIGATIONS OF FRANCHISOR**

4.1 Provide initial training for Franchisee personnel, including operational, managerial, and customer service training.

4.2 Supply operational manuals, branding materials, recipes, and marketing support.

4.3 Provide ongoing assistance and periodic inspections to ensure compliance with quality standards.

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### **5. INTELLECTUAL PROPERTY**

5.1 The Franchisee acknowledges that the trademarks, trade names, logos, and proprietary methods of the Franchisor are the exclusive property of the Franchisor.

5.2 The Franchisee shall not use or register any similar marks that may infringe the Franchisor's rights.

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### **6. CONFIDENTIALITY**

6.1 The Franchisee shall maintain the confidentiality of all trade secrets, recipes, business plans, and customer data provided by the Franchisor.

6.2 This obligation shall survive the termination of this Agreement for a period of **5 years**.

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## 7. TERMINATION

7.1 This Agreement may be terminated by either Party in the event of a material breach by the other Party, provided written notice of 30 days is given.

7.2 The Franchisor may terminate immediately if the Franchisee:

- Operates in violation of standards;
- Uses the brand improperly;
- Fails to make payments;
- Engages in unlawful conduct.

7.3 Upon termination, the Franchisee shall cease using all Franchisor intellectual property and return all manuals, materials, and signage.

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## 8. DISPUTE RESOLUTION

8.1 Any dispute arising under this Agreement shall first be attempted to resolve amicably.

8.2 If unresolved, disputes shall be referred to **arbitration under the Indian Arbitration and Conciliation Act, 1996**, with venue at **Bengaluru, Karnataka**.

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## 9. GOVERNING LAW

This Agreement shall be governed by and construed in accordance with the **laws of India**.

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## 10. MISCELLANEOUS

10.1 **Entire Agreement:** This Agreement, including all schedules and annexures, constitutes the entire understanding between the Parties.

10.2 **Amendments:** Must be in writing and signed by both Parties.

10.3 **Force Majeure:** Neither Party is liable for delays caused by events beyond reasonable control.

10.4 **Severability:** Invalid provisions shall not affect the remainder of the Agreement.

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## 11. SIGNATURES

**For Delta Foods Pvt Ltd (Franchisor)**

Signature: \_\_\_\_\_

Name: **Mr. Karan Mehta**

Designation: Chief Executive Officer

Date: 22 December 2025

**For Gamma Foods Pvt Ltd (Franchisee)**

Signature: \_\_\_\_\_

Name: **Ms. Rina Shah**

Designation: Managing Director

Date: 22 December 2025

**Witnesses:**

1. Name: **Mr. Arjun Rao** | Signature: \_\_\_\_\_ | Address: Hyderabad, Telangana
2. Name: **Ms. Kavya Menon** | Signature: \_\_\_\_\_ | Address: Bengaluru, Karnataka